

Remuneration

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Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) a CRR firm in relation to its:
 1. (a) UK activities; and
 2. (b) [deleted.]
 3. (c) other activities wherever they are carried on, in a prudential context; and
2. (2) a third country CRR firm in relation to its activities carried on from an establishment in the UK.

1.2

This Part applies:

1. (1) in relation to regulated activities;
2. (2) in relation to the regulated activity, specified in Article 14 of the Regulated Activities Order (Dealing in investments as principal), disregarding the exclusion in Article 15 of the Regulated Activities Order (Absence of holding out etc.);
3. (3) in relation to ancillary activities and (in relation to MiFID business) ancillary services;
4. (4) in relation to the carrying on of unregulated activities in a prudential context; and
5. (5) taking into account activities of other members of a group of which the firm is a member.

1.3

(1) In this Part, the following definitions shall apply:

accounting reference date

means

1. (1) (in relation to a body corporate incorporated in the UK under the Companies Acts) the accounting reference date of that body corporate determined in accordance with section 391 of the Companies Act 2006; or
2. (2) (in relation to any other body) the last day of its financial year.

average total assets

means the recent average of the firm's total assets calculated as follows:

1. (1) for a CRR firm:

1. (a) identify the occasions (due dates) in the preceding 36 months by which the firm was required to report its total assets; and
2. (b) calculate the arithmetic mean of the total assets that the firm was required to report on those occasions; or
2. (2) for a third country CRR firm, calculate the arithmetic mean of the firm's total assets on each of the last three accounting reference dates.

business unit

means any separate organisational or legal entities, business lines, or geographical locations.

buy-out

means that part of an _employee's_ variable _remuneration_ :

1. (a) agreed in any contracts relating to the commencement of employment with, or provision of services to, a new _firm_ ; and
2. (b) the aggregate value of which is less than or equal to such unvested variable _remuneration_ :
 1. (i) in the _employee's_ contracts relating to the _employee's_ employment with, or provision of services to, a previous _firm_ , and
 2. (ii) which terminated when the _employee_ left employment with, or ceased to provide services to, the previous _firm_.

buy-out notice

means the information provided by a _firm_ to a previous _firm_ in accordance with 15A.5.

consolidation group entity

means an _institution_ or _financial institution_ which is:

1. (1) an _undertaking responsible for consolidation_;
2. (2) a _subsidiary_ of the _undertaking responsible for consolidation_ ; or
3. (3) where the _consolidation group_ contains a _PRA designated institution_ , a _subsidiary_ of the _UK parent financial holding company_ or _UK parent mixed financial holding company_ by which the _PRA designated institution_ is _controlled_.

control functions

means a function that is independent from the _business units_ it controls and that is responsible for providing an objective assessment of the _firm's_ _risks_ or to review or report on those and which includes (but is not limited to) the risk management function, the compliance function and the internal audit function.

core business line

means business lines and associated services which represent material sources of revenue, profit or franchise value for a _firm_ or for its _group_.

CRR2

means Regulation (EU) 2019/876 of the European Parliament and of the Council of 20 May 2019.

group

has the meaning in section 421 _FSMA_.

high earner

means an _employee_ (of a _firm_ or of any _consolidation group entity_) whose total annual _remuneration_ is ?1 million or more per year or its equivalent in another currency determined by reference to the conversion rate applicable to the corresponding _High Earners Report_ under Chapter 18.

High Earners Report

means the report by which a _firm_ provides to the _PRA_ the information required in Chapter 18.

large institution

has the meaning provided in point 146 of Article 4 of the _CRR_.

managerial responsibility

means a situation in which an _employee_ :

1. (1) heads a _business unit_ or a _control function_ and is directly accountable to the _management body_ as a whole or to a member of the _management body_ or to the _senior management_ ;
2. (2) heads one of the functions set out in 3.2A(1) or
3. (3) heads a subordinated _business unit_ or a subordinated _control function_ in a _large institution_ and reports to an _employee_ that has the responsibilities referred to in (1).

material business unit

means a _business unit_ that meets either of the following criteria:

1. (a) it has allocated internal capital of at least 2% of the internal capital of the _firm_ as set out in Internal Capital Adequacy Assessment Part 3.1(1) or is otherwise assessed by the _firm_ as having a material impact on the _firm's_ internal capital; or
2. (b) it is a _core business line_.

material risk taker

has the meaning given in 3.1.

private person

has the meaning given by regulation 3 of the Financial Services and Markets Act 2000 (Rights of Action) Regulations 2001.

reduction notice

means a notice provided to a _firm_ by a previous _firm_ in accordance with 15A.9(3).

Remuneration Benchmarking Information Report

means the report by which a _firm_ provides to the _PRA_ the information required in Chapter 17.

remuneration requirements

means the requirements in 6 to 15A.

remuneration statement

means a statement provided to an _employee_ by a previous _firm_ in accordance with 15A.7.

share

means the investment specified in Article 76 of the _Regulated Activities Order_ (Shares etc).

small CRR firm

means a _CRR firm_ that satisfies Condition 1 and, where the _firm_ is part of a group containing any other _firm_ subject to this Part on an individual basis, Condition 2, where:

1. (1) Condition 1 is that the _firm_ either:

1. (a) has _average total assets_ not exceeding £4 billion; or
2. (b) satisfies the conditions in 2A.1 and has _average total assets_ exceeding £4 billion but not exceeding £20 billion;
2. and

3. (2) Condition 2 is that where the _firm_ is a member of a group, the criteria in (a) or (b) are satisfied in respect of any other _firm_ in the group which is subject to this Part on an individual basis:

1. (a)
 1. (i) the _average total assets_ of each _CRR firm_ in the group do not exceed £4 billion on an individual basis;
 2. (ii) the _average total assets_ relating to the activities of the _branch_ operation in the _UK_ of each _third country CRR firm_ in the group do not exceed £4 billion on an individual basis; and
 3. (iii) where any _CRR firm_ or _third country CRR firm_ in the group is a member of a consolidation group, the consolidation group has _average total assets_ not exceeding £4 billion on a consolidated basis; or
2. (b)
 1. (i) the _average total assets_ of each _CRR firm_ in the group do not exceed £20 billion on an individual basis;
 2. (ii) the _average total assets_ relating to the activities of the branch operation in the _UK_ of each _third country CRR firm_ in the group do not exceed £20 billion on an individual basis;
 3. (iii) where any _CRR firm_ or _third country CRR firm_ in the group is a member of a consolidation group, the consolidation group has _average total assets_ not exceeding £20 billion on a consolidated basis
 4. (iv) for each _CRR firm_ in the group each of the conditions in 2A.1 are satisfied on an individual basis;
 5. (v) for each _third country CRR firm_ in the group each of the conditions in 2B.1 are satisfied on an individual basis; and
 6. (vi) where any _CRR firm_ or _third country CRR firm_ in the group is a member of a consolidation group, each of the conditions (1), (2) and (3) in 2A.1 are satisfied in respect of the consolidation group on a consolidated basis,

provided that, if a _firm_ has not yet been required to report its total assets, the calculations in respect of _average total assets_ in Conditions 1 and 2 shall instead be done on the basis of the _firm's_ reasonable forecast of its total assets as at the first occasion on which it will be required to report them.

small third country CRR firm

means a _third country CRR firm_ that satisfies Condition 1 and, where the _firm_ is part of a group containing any other _firm_ subject to this Part on an individual basis, Condition 2, where

1. (1) Condition 1 is that the _firm_ either:

1. (a) has _average total assets_ that relate to the activities of the branch operation of the _firm_ in the _UK_ not exceeding £4 billion; or;
2. (b) satisfies the conditions in 2B.1 and has _average total assets_ that relate to the activities of the _branch_ operation of the _firm_ in the _UK_ exceeding £4 billion but not exceeding £20 billion;
2. and

3. (2) Condition 2 is that where the _firm_ is a member of a group, the criteria in (a) or (b) are satisfied in respect of any other _firm_ in the group which is subject to this Part on an individual basis:

1. (a)
 1. (i) the _average total assets_ of each _CRR firm_ in the group do not exceed £4 billion on an individual basis;
 2. (ii) the _average total assets_ relating to the activities of the branch operation in the _UK_ of each _third country CRR firm_ in the group do not exceed £4 billion on an individual basis; and
 3. (iii) where any _CRR firm_ or _third country CRR firm_ in the group is a member of a consolidation group, the consolidation group has _average total assets_ not exceeding £4 billion on a _consolidated basis_ ; or
2. (b)
 1. (i) the _average total assets_ of each _CRR firm_ in the group do not exceed £20 billion on an individual basis;
 2. (ii) the _average total assets_ relating to the activities of the branch operation in the _UK_ of each _third country CRR firm_ in the group do not exceed £20 billion on an individual basis;
 3. (iii) where any _CRR firm_ or _third country CRR firm_ in the group is a member of a consolidation group, the consolidation group has _average total assets_ not exceeding £20 billion on a _consolidated basis_ ;
 4. (iv) for each _CRR firm_ in the group each of the conditions in 2A.1 are satisfied on an individual basis;
 5. (v) for each _third country CRR firm_ in the group each of the conditions in 2B.1 are satisfied on an individual basis; and
 6. (vi) where any _CRR firm_ or _third country CRR firm_ in the group is a member of a consolidation group, each of the conditions (1), (2) and (3) in 2A.1 are satisfied in respect of the consolidation group on a _consolidated basis_ ,

provided that, if a firm has not yet been required to report its total assets, the calculations in respect of average total assets in Conditions 1 and 2 shall instead be done on the basis of the firm's reasonable forecast of its total assets as at the first occasion on which it will be required to report them.

small trading book

means the size of the _firm's_ (or for the purposes of a _small third country CRR firm_ , the size relating to the activities of the _branch_ operations in the _UK_ of the _firm_) on- and off-balance-sheet trading-book business is equal to or less than both:

1. (a) 5% of the _firm's_ total assets; and
2. (b) ?50 million

on the basis of the assessment provided in Article 94 of the _CRR_ , as amended by point (48) of Article 1 of CRR2.

total assets

means:

1. (1) in relation to a _CRR firm_ , its total assets as set out in its balance sheet on the relevant _accounting reference date_ ; and
2. (2) in relation to a _third country CRR firm_ , the total assets of the _third country CRR firm_ as set out in its balance sheet on the relevant _accounting reference date_ that cover the activities of the _branch_ operation in the _UK_;

except that, for the purpose of identifying whether a firm is a small CRR firm and calculating the average total assets for that purpose, it means:

1. (3) for a firm that is required to submit data item template F 01.01 of Annex III Part 1 of Reporting (CRR) Part, the sum of the firm's assets as required to be recorded at row 380 of that data item; or
2. (4) for a firm that is required to submit data item template F 01.01 of Annex IV Part 1 of Reporting (CRR) Part, the sum of the firm's assets as required to be recorded at row 380 of that data item.

undertaking responsible for consolidation

means a _PRA approved parent holding company_, a _PRA designated parent holding company_, a _PRA approved intermediate holding company_, a _PRA designated intermediate holding company_, or a _PRA designated institution_.

(2) In this Chapter, references to rules in 15 in relation to a _firm_ shall be read on the basis that references to employment with or the provision of services to the _firm_, include references to employment with or the provision of services to a previous _firm_ to which the _buy-out_ relates.

Note:[CRD]

* Future version of 1.3 after 01/01/2027

1.4

Unless otherwise defined, any italicised expression used in this Part and in the _CRD_ or _CRR_ has the same meaning as in the _CRD_ or _CRR_.

Note:[CRD and CRR No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012 Text with EEA relevance"]]

2

Application Dates and Transitional Provisions

2.1

Subject to 2.2 to 2.4, a _firm_ must apply the _remuneration requirements_ in relation to:

1. (1) remuneration awarded, whether pursuant to a contract or otherwise, on or after 1 January 2011;
2. (2) remuneration due on the basis of contracts concluded before 1 January 2011 which is awarded or paid on or after 1 January 2011; and
3. (3) remuneration awarded, but not yet paid, before 1 January 2011, for services provided in 2010.

2.2

[Deleted]

2.3

A _firm_ must apply 15.17(1)(b) and (c), 15.20(2), (3) and (4), 15.23 and 16.1(3) in relation to _remuneration_ awarded in relation to a performance year starting on or after 1 January 2016.

2.4

A _firm_ must apply 15A.2 to 15A.11 in relation to any buy-out agreed into on or after 1 January 2017.

2.5

Subject to 2.7 and 2.8 a _firm_ must apply this Part to _remuneration_ awarded in respect of a performance year starting on or after 29 December 2020.

2.6

A _firm_ must apply this Part in accordance with 2.1 to 2.4 as it applied under those rules as of 28 December 2020 to _remuneration_ awarded in respect of a performance year starting before 29 December 2020.

2.7

[Deleted]

2.8

[Deleted]

2.9

A firm must apply this Part as it applied on 7 December 2023 to remuneration awarded in respect of a performance year starting before 8 December 2023.

2.10

Subject to 2.11, a firm must apply this Part as it applied on 15 October 2025 to remuneration awarded in respect of a performance year starting before 16 October 2025.

2.11

A firm may:

1. (1) treat 15.16, as it applied on 15 October 2025, as not applying to remuneration awarded in respect of a performance year starting before 16 October 2025; and
2. (2) treat 15.17 and 15.18, as they applied on 16 October 2025, as applying to remuneration awarded in respect of a performance year starting before 16 October 2025.

2A

Small CRR Firm Conditions

2A.1

The conditions referred to in (1)(b) and (2)(b) of the definition of small CRR firm and in (2)(b) of the definition of small third country CRR firm are the following:

1. (1) Subject to 2A.2, the size of the firm's on- and off- balance-sheet trading book business was less than or equal to both £44 million and 5% of the firm's total assets, on the basis of the assessment set out in Article 94(3) of Chapter 3 of Trading Book (CRR) Part:
 1. (a) on the last day of at least one of the preceding three months, and
 2. (b) on the last day of at least six of the preceding twelve months;
2. (2) The firm's overall net foreign-exchange position, calculated using the method set out in Article 352 of CRR, does not exceed 3.5% of its own funds and, subject to 2A.2, did not on average exceed 2% of its own funds:
 1. (a) in one or more of the preceding three months, and
 2. (b) in six or more of the preceding twelve months,
3. as determined in accordance with 2A.3;
1. (3) The firm does not hold positions in commodities or commodity derivatives;
2. (4) The firm does not provide clearing, transaction settlement, custody or correspondent banking services to a UK bank, a building society, or a non-UK credit institution, including by acting as an intermediary for a UK bank, a building

society, or a non-UK credit institution to access the facilities or services of:

1. (a) a payment system, CSD, third-country CSD, SSS or central counterparty in which the firm is a direct or indirect participant or member, or
 2. (b) an exchange, other trading facility, clearing house or any other financial market utility or infrastructure, either directly or indirectly,
 3. except that the firm may provide clearing, transaction settlement, custody or correspondent banking services in sterling to a UK bank, building society or non-UK credit institution that is a member of the firm's immediate group; and
1. (5) The firm is not an operator of a payment system.

2A.2

The criteria in 2A.1(1)(a) and 2A.1(2)(a) do not apply in respect of a CRR firm that was not a firm on the last day of the preceding month and the criteria in 2A.1(1)(b) and 2A.1(2)(b) do not apply in respect of a CRR firm that was not a firm on the last day of each of the preceding six months.

2A.3

For the purpose of 2A.1(2), a firm's overall net foreign-exchange position does not on average exceed 2% of its own funds in a given month if the arithmetic mean of the firm's daily overall net foreign-exchange positions over the course of the month is less than or equal to 2% of the firm's own funds on the last day of the month.

2B

Small Third Country CRR Firm Conditions

2B.1

The conditions referred to in (1)(b) and (2)(b) of the definition of small third country CRR firm and in (2)(b) of the definition of small CRR firm are the following:

1. (1) Subject to 2B.2, the size of the on- and off- balance-sheet trading book business of the firm's branch operation in the UK was less than or equal to both £44 million and 5% of the total assets of the firm, on the basis of the assessment set out in Article 94(3) of Chapter 3 of Trading Book (CRR) Part:
 1. (a) on the last day of at least one of the preceding three months, and
 2. (b) on the last day of at least six of the preceding twelve months;
2. (2) The overall net foreign-exchange position of the firm's branch operation in the UK, calculated using the method set out in Article 352 of CRR, does not exceed 3.5% of the firm's own funds and, subject to 2B.2, did not on average exceed 2% of the firm's own funds:
 1. (a) in one or more of the preceding three months, and
 2. (b) in six or more of the preceding twelve months,
 3. as determined in accordance with 2B.3;
1. (3) The firm's branch operation in the UK does not hold positions in commodities or commodity derivatives;
2. (4) The firm's branch operation in the UK does not provide clearing, transaction settlement, custody or correspondent banking services to a UK bank, a building society, or a non-UK credit institution, including by acting as an intermediary for a UK bank, a building society, or a non-UK credit institution to access the facilities or services of:
 1. (a) a payment system, CSD, third-country CSD, SSS or central counterparty in which the firm is a direct or indirect participant or member, or
 2. (b) an exchange, other trading facility, clearing house or any other financial market utility or infrastructure, either directly or indirectly,

3. except that the firm's branch operation in the UK may provide clearing, transaction settlement, custody or correspondent banking services in sterling to a UK bank, building society or non-UK credit institution that is a member of the firm's immediate group; and
4. (5) The firm's branch operation in the UK is not an operator of a payment system.

2B.2

The criteria in 2B.1(1)(a) and 2B.1(2)(a) do not apply in respect of a third country CRR firm that was not a firm on the last day of the preceding month and the criteria in 2B.1(1)(b) and 2B.1(2)(b) do not apply in respect of a third country CRR firm that was not a firm on the last day of each of the preceding six months.

2B.3

For the purpose of 2B.1(2), the overall net foreign-exchange position of a firm's branch operation in the UK does not on average exceed 2% of the firm's own funds in a given month if the arithmetic mean of the daily overall net foreign-exchange positions of the firm's branch operation in the UK over the course of the month is less than or equal to 2% of the firm's own funds on the last day of the month.

3

Material Risk Takers

3.1

A firm must, save where otherwise stated, apply the requirements of this Part in relation to a person (a 'material risk taker') who is:

1. (1) an employee of a CRR firm whose professional activities have a material impact on the firm's risk profile, including:
 1. (a) all members of the management body and senior management ;
 2. (b) employees with managerial responsibility over the firm's control functions or material business units ;
 3. (c) [deleted]
 4. (d) employees whose professional activities are deemed to have a material impact on the firm's risk profile under 3.2A; or
3. (2) an employee of a third country CRR firm who would fall within 3.1(1) if it had applied in relation to him or her.

[Note: Article 92 of the CRD]

3.1A

For the purposes of 3.1(1)(d)\(d\)", a firm must calculate all amounts of variable and fixed remuneration on a gross and full-time equivalent basis.

3.1B

[Deleted]

3.1C

[Deleted]

3.2

[Deleted.]

3.2A

In addition to _employees_ identified under the criteria set out in 3.1(1)(a) and (b), a _firm_ must deem an _employee_ to have a material impact on a _firm's_ risk profile where one or more of the following qualitative criteria are met:

1. (1) the _employee_ has _managerial responsibility_ for any of the following:
 1. (a) legal affairs;
 2. (b) the soundness of accounting policies and procedures;
 3. (c) finance, including taxation and budgeting;
 4. (d) performing economic analysis;
 5. (e) the prevention of money laundering and terrorist financing;
 6. (f) human resources;
 7. (g) the development or implementation of the _remuneration_ policy;
 8. (h) information technology;
 9. (i) information security; or
 10. (j) managing _outsourcing_ arrangements of a function, where a defect or failure in the performance of that function would materially impair the continuing compliance of the _firm_ with the conditions and obligations of its authorisation, financial performance, or the soundness or continuity of its services and activities;
2. (2) the _employee_ has _managerial responsibility_ for any of the risk categories set out in Internal Capital Adequacy Assessment Part 3.1(2) (a) to (g), (i) and (j) or is a voting member of a committee responsible for the management of such a risk category;
3. (3) with regard to credit risk exposures of a nominal amount per transaction, representing 0.5% of the _firm's_ common equity tier 1 capital and which is at least £4.5 million, the _employee_ member meets either of the following criteria:
 1. (a) the _employee_ has the authority to take, approve or veto decisions on such credit risk exposures; or
 2. (b) the _employee_ is a voting member of a committee which has the authority to take the decisions as referred to in (a);
4. (4) in relation to a _firm_ for which the derogation for _small trading book_ businesses set out in Article 94 of the _CRR_ does not apply, the _employee_ meets either of the following criteria:
 1. (a) the _employee_ has the authority to take, approve or veto decisions on transactions on the trading book that in aggregate represent one of the following thresholds:
 1. (i) where the standardised approach is used, an _own funds_ requirement for _market risk_ that represents 0.5 % or more of the _firm's_ common equity tier 1 capital;
 2. (ii) where an internal model based approach is approved for regulatory purposes, 5% or more of the _firm's_ internal value-at-risk limit for trading book exposures at a 99th percentile (one-tailed confidence interval level); or
 2. (b) the _employee_ is a voting member of a committee that has the authority to take the decisions referred to in (a);
5. (5) the _employee_ heads a group of _employees_ who have individual authorities to commit the _firm_ to transactions and either of the following conditions is met:
 1. (a) the sum of those authorities equals or exceeds the threshold referred to in 3.2A(3)(a) or 3.2A(4)(a)(i); or
 2. (b) where an internal model based approach is approved for regulatory purposes, those authorities amount to 5% or more of the _firm's_ internal value-at-risk limit for trading book exposures at a 99th percentile (one-tailed confidence interval level): where the _firm_ does not calculate a value-at-risk at the level of that _employee_ , the value-at-risk limits of _employees_ under the management of that _employee_ must be aggregated; or
6. (6) the _employee_ meets either of the following criteria with regard to decisions on approving or vetoing the introduction of new products:
 1. (a) the _employee_ has authority to take such decisions; or
 2. (b) the _employee_ is a voting member of a committee that has authority to take such decisions.

3.3

[Deleted.]

Note:[Material Risk Takers Regulation No. 604/2014 of 4 March 2014 \the Material Risk Takers Regulation\")]

3.3A

[Deleted]

3.4

A firm must maintain a record of its material risk takers in accordance with the Record Keeping Part.

Note:[Material Risk Takers Regulation No. 604/2014 of 4 March 2014 \the Material Risk Takers Regulation\")]

3.5

A firm must take reasonable steps to ensure that its material risk takers understand the implications of their status as such, including the potential for remuneration which does not comply with certain requirements of this Part to be rendered void and recoverable by the firm.

Note:[Material Risk Takers Regulation No. 604/2014 of 4 March 2014 \the Material Risk Takers Regulation\")]

4

Groups

4.1

[Deleted.]

* Future version of 4.1 after 01/01/2027

4.2

A firm that is a member of a group must:

1. (1A) comply with this Part on an individual basis;
2. (1B) comply, and ensure that the other members of the group comply, with the obligations set out in this Part on a consolidated basis or sub-consolidated basis including those members of the group established in a country or territory which is not in the UK;
3. (1) ensure that the risk management processes and internal control mechanisms of the other members of the group of which it is a member comply with the obligations set out in this Part on a consolidated basis or sub-consolidated basis including those members of the group established in a country or territory which is not in the UK; and
4. (2) ensure that compliance with (1A), (1B) and (1) enables the members of the group of which it is a member to have arrangements, processes and mechanisms that are consistent and well integrated and that any data relevant to the purpose of supervision can be produced.

[Note: Arts. 92(1) and 109 of the CRD]

[Note:CRD]

* Future version of 4.2 after 01/01/2027

4.3

Subject to 4.4, for the purposes of the application of 4.2(1B), (1) and (2) on a _consolidated basis_, _firm_ includes a _PRA approved parent holding company_, a _PRA designated parent holding company_, a _PRA approved intermediate holding company_, a _PRA designated intermediate holding company_, or a _PRA designated institution_.

4.4

For the purposes of the application of 4.2(1B), (1) and (2) in respect of the obligation to comply, and ensure other members of the _group_ comply, with Chapter 16 on a _consolidated basis_, _firm_ does not include a _PRA approved parent holding company_, a _PRA designated parent holding company_, a _PRA approved intermediate holding company_, or a _PRA designated intermediate holding company_.

[Note: Art. 109 of the _CRD_]

5

Proportionality

5.1

A _firm_ must comply with this Part in a way that is appropriate to its size, internal organisation and the nature, the scope and the complexity of its activities, when establishing and applying the total _remuneration_ policies for _material risk takers_.

5.2

5.1 does not apply to the requirement in 7.4 for significant _firms_ to have a _remuneration_ committee.

[Note: Art. 92(1) of the _CRD_]

Note:[CRD]

5.3

12.2, 15.15 to 15.19, 15.20(2) and (3A), 15.20A to 15.23 and 15A do not apply to a _firm_ that is a _small CRR firm_ or a _small third country CRR firm_.

6

Remuneration Policies

6.1

In this Chapter, 6.2, 6.5 and 6.6 apply to _firms_ in relation to _firms?_ _remuneration_ policies, practices and procedures generally, not only in relation to _material risk takers_.

6.2

A _firm_ must establish implement and maintain a _remuneration_ policy, practices and procedures which are consistent with and promote sound and effective risk management and do not encourage risk-taking that exceeds the level of tolerated risk of the _firm_.

[Note: Arts. 74(1) and 92(2)(a) of the _CRD_]

Note:[CRD]

6.3

A _firm_ must ensure that its _remuneration_ policy is in line with the business strategy, objectives, values and long-term interests of the _firm_.

[Note: Art. 92(2)(b) of the _CRD_]

Note:[CRD]

6.4

A _firm_ must ensure that its _remuneration_ policy includes measures to avoid conflicts of interest.

[Note: Art. 92(2)(b) of the _CRD_]

Note:[CRD]

6.5

A _firm_ must ensure that its _remuneration_ policies, practices and procedures, including performance appraisal processes and decisions, are clear and documented.

6.6

A _firm_ must ensure that its _remuneration_ policy sets out the reference year for the variable _remuneration_ that it takes into account when calculating total _remuneration_ and that reference year must be either:

1. (1) the year preceding the financial year in which the variable _remuneration_ is awarded; or
2. (2) the year preceding the financial year for which the variable _remuneration_ is awarded.

7

Governance

7.1

In this Chapter, 7.4 applies generally, not only in relation to _material risk takers_.

7.2

A _firm_ must ensure that its _management body_ in its _supervisory function_ adopts and periodically reviews the general principles of the _remuneration_ policy and is responsible for overseeing its implementation.

Note: Art. 92(2)(c) of the _CRD_ and Standard 1 of the [FSB Compensation Standards]

Note:[CRD]

7.3

A _firm_ must ensure that the implementation of the _remuneration_ policy is, at least annually, subject to central and independent internal review for compliance with policies and procedures for _remuneration_ adopted by the _management body_ in its _supervisory function_.

Note: Art. 92(2)(d) of the _CRD_ and Standard 1 of the [FSB Compensation Standards]

Note:[CRD]

7.3A

A firm must ensure that the methodology for identifying material risk takers and the implementation of that methodology is regularly overseen by employees having responsibility for overall management of the risk controls of the firm.

7.4

A firm that is significant in terms of its size, internal organisation and the nature, scope and complexity of its activities must establish a remuneration committee, and ensure that the committee:

1. (1) is constituted in a way that enables it to exercise competent and independent judgment on remuneration policies and practices and the incentives created for managing risk, capital and liquidity;
2. (2) comprises a chair and members who are members of the management body who do not perform any executive function in the firm ;
3. (3) is responsible for the preparation of decisions regarding remuneration , including those which have implications for the risk and risk management of the firm and which are to be taken by the management body ; and
4. (4) takes into account, when preparing such decisions, the long-term interests of shareholders, investors and other stakeholders in the firm as well as the public interest.

Note: Art. 95 of the CRD and Standard 1 of the [FSB Compensation Standards]

Note:[CRD]

7.5

A firm that maintains a website must explain on the website how the firm complies with this Part.

[Note: Art. 96 of the CRD]

Note:[CRD]

8

Control Functions

8.1

A firm must ensure that employees engaged in control functions:

1. (1) are independent from the business units they oversee;
2. (2) have appropriate authority; and
3. (3) are remunerated :
 1. (a) adequately to attract qualified and experienced employees ; and
 2. (b) in accordance with the achievement of the objectives linked to their functions, independent of the performance of the business areas they control.

Note: Art. 92(2)(e) of the CRD and Standard 2 of the [FSB Compensation Standards]

Note:[CRD]

8.2

A _firm_ must ensure that the _remuneration_ of the senior officers in risk management and compliance functions is directly overseen by the _remuneration_ committee referred to in 7.4, or, if such a committee has not been established, by the _governing body_ in its _supervisory function_.

[Note: Art. 92(2)(f) of the _CRD_]

Note:[CRD]

9

Remuneration and Capital

9.1

A _firm_ must ensure that total variable _remuneration_ does not limit the _firm's_ ability to strengthen its capital base.

Note: Art. 94(1)(c) of the _CRD_ and Standard 3 of the [FSB Compensation Standards]

Note:[CRD]

10

Exceptional Government Intervention

10.1

A _firm_ that benefits from exceptional government intervention must ensure that:

1. (1) variable _remuneration_ is strictly limited as a percentage of net revenues when it is inconsistent with the maintenance of a sound capital base and timely exit from government support;
2. (2) it restructures _remuneration_ in a manner aligned with sound risk management and long-term growth, including when appropriate establishing limits to the _remuneration_ of members of its _management body_ ; and
3. (3) no variable or discretionary _remuneration_ of any kind is paid to members of its _management body_ unless this is justified.

Note: Art. 93 of the _CRD_ and Standard 10 of the [FSB Compensation Standards]

Note:[CRD]

11

Risk Adjustment

11.1

1. (1) A _firm_ must ensure that any measurement of performance used to calculate variable _remuneration_ components or pools of variable _remuneration_ components:
 1. (a) includes adjustments for all types of current and future risks and takes into account the cost and quantity of the capital and the liquidity required; and
 2. (b) takes into account the need for consistency with the timing and likelihood of the _firm_ receiving potential future revenues incorporated into current earnings.
2. (2) A _firm_ must ensure that the allocation of variable _remuneration_ components within the _firm_ also takes into account all types of current and future risks.

Note: Arts. 94(1)(j) and (k) of the _CRD_ and Standard 4 of the [FSB Compensation Standards]

Note:[CRD]

11.2

A _firm_ must have a clear and verifiable mechanism for measuring performance, with risk adjustment applied thereafter in a clear and transparent manner.

11.3

A _firm_ must base assessments of financial performance used to calculate variable _remuneration_ components or pools of variable _remuneration_ components principally on profits. To determine profits for this purpose, a _firm_ (other than a _branch_) must adjust its fair valuation accounting model profit figure by the incremental change in its regulatory prudent valuation adjustment figure across the relevant performance period.

11.4

A _firm's_ risk-adjustment approach must reflect both ex-ante adjustment (which adjusts _remuneration_ for intrinsic risks that are inherent in its business activities) and ex-post adjustment (which adjusts _remuneration_ for crystallisation of specific risk events).

11.4A

A firm must:

1. (1) set specific criteria for the application of an ex-ante adjustment or an ex-post adjustment;
2. (2) ensure that the criteria for the application of an adjustment in (1) in particular cover situations where, by virtue of their role or seniority, it is reasonable for a material risk taker to be held responsible:
 1. (a) for the intrinsic risk or risk event (as the case may be); or
 2. (b) weaknesses or failings relevant to the intrinsic risk or risk event; and
3. (3) consider making an ex-ante adjustment or an ex-post adjustment where the criteria are met.

11.5

A _firm_ must not base the ex-ante risk adjustments referred to in 11.4 on revenue-based measures, except as part of a balanced, risk-adjusted scorecard.

11.6

A _firm_ must ensure that its total variable _remuneration_ is generally considerably contracted where subdued or negative financial performance of the _firm_ occurs, taking into account both current _remuneration_ and reductions in payouts of amounts previously earned, including through malus or clawback arrangements.

Note: Art. 94(1)(n) of the _CRD_ and Standard 5 of the [FSB Compensation Standards]

Note:[CRD]

11.7

A firm must ensure that any measurement of performance used to calculate variable remuneration for senior management takes into account the performance of the member of senior management in their areas of responsibility.

12

Pension Policy

12.1

A _firm_ must ensure that its pension policy is in line with its business strategy, objectives, values and long-term interests.

[Note: Art. 94(1)(o) of the _CRD_]

Note:[CRD]

12.2

A _firm_ that is not a _small CRR firm_ or a _small third country CRR firm_ must ensure that:

1. (1) when an _employee_ leaves the _firm_ before retirement, any discretionary pension benefits are held by the _firm_ for a period of five years in the form of instruments referred to in 15.15; and
2. (2) when an _employee_ reaches retirement, discretionary pension benefits are paid to the _employee_ in the form of instruments referred to in 15.15 and subject to a five-year retention period,
3. unless the:
 1. (A) total annual remuneration of the employee is no more than £660,000; and
 2. (B) annual variable remuneration of the employee is no more than 33% of the _employee's_ total annual _remuneration_.

13

Personal Investment Strategies

13.1

1. (1) A _firm_ must ensure that its _employees_ undertake not to use personal hedging strategies to undermine the risk alignment effects embedded in their _remuneration_ arrangements.
2. (2) A _firm_ must ensure that its _employees_ undertake not to use _remuneration_ -related or liability-related _contracts of insurance_ to undermine the risk alignment effects embedded in their _remuneration_ arrangements.
3. (3) A _firm_ must maintain effective arrangements designed to ensure that _employees_ comply with their undertaking.

Note: Art. 94(1)(p) of the _CRD_ and Standard 14 of the [FSB Compensation Standards]

Note:[CRD]

14

Non-Compliance

14.1

A _firm_ must ensure that variable _remuneration_ is not paid through vehicles or methods that facilitate non-compliance with obligations arising from _CRR_ or this Part.

[Note: Art. 94(1)(q) of the _CRD_]

Note:[CRD and CRR No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential

requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012 Text with EEA relevance"]]

15

Remuneration Structures

General Requirement

15.A1

In this Chapter:

1. (1) All the requirements of this Chapter apply to a firm that is neither a small CRR firm nor a small third country CRR firm.
2. (2) 15.1 to 15.14 and 15.20(1) apply to a small CRR firm or a small third country CRR firm.
3. (3) A firm is not required to comply with 15.15 to 15.19, 15.20A, 15.22 and 15.23 in relation to a material risk taker (X) in respect of whom both of the following conditions are satisfied:
 1. (a) [deleted]
 2. (b) [deleted]
3. (c) condition 1 is that X's variable remuneration is no more than 33% of total remuneration; and
4. (d) condition 2 is that X's total remuneration is no more than £660,000.

15.1

A firm must ensure that the structure of an employee's remuneration is consistent with and promotes effective risk management.

15.2

A firm must ensure that its remuneration policy makes a clear distinction between criteria for setting:

1. (1) basic fixed remuneration that primarily reflects an employee's professional experience and organisational responsibility as set out in the employee's job description and terms of employment; and
2. (2) variable remuneration that reflects performance in excess of that required to fulfil the employee's job description and terms of employment and that is subject to performance adjustment in accordance with this Part.

[Note: Art. 92(2)(g) of the CRD]

Note:[CRD]

15.3

A firm must not award variable remuneration to a non-executive director in relation to his or her role as such.

Assessment of performance

15.4

A firm must ensure that where remuneration is performance-related:

1. (1) the total amount of remuneration is based on a combination of the assessment of the performance of:
 1. (a) the individual;
 2. (b) the business unit concerned; and

3. (c) the overall results of the _firm_ ; and
2. (2) when assessing individual performance, financial as well as non-financial criteria are taken into account.

Note: Art. 94(1)(a) of the _CRD_ and Standard 6 of the [FSB Compensation Standards]

Note:[CRD]

15.5

A _firm_ must clearly explain the performance assessment process referred to in 15.4 to relevant _employees_.

15.6

A _firm_ must ensure that the assessment of performance is set in a multi-year framework in order to ensure that the assessment process is based on longer-term performance and that the actual payment of performance-based components of _remuneration_ is spread over a period which takes account of the underlying business cycle of the _firm_ and its business risks.

[Note: Art. 94(1)(b) of the _CRD_]

Note:[CRD]

Specific award structures: guaranteed variable remuneration and buy-outs

15.7

A _firm_ must ensure that guaranteed variable _remuneration_ is not part of prospective _remuneration_ plans. A _firm_ must not award, pay or provide guaranteed variable _remuneration_ unless:

1. (1) it is exceptional;
2. (2) it occurs in the context of hiring a new _employee_ ;
3. (3) the _firm_ has a sound and strong capital base; and
4. (4) it is limited to the first year of service.

Note: Arts. 94(1)(d) and (e) of the _CRD_ and Standard 11 of the [FSB Compensation Standards]

Note:[CRD]

15.8

[Deleted.]

Ratio between fixed and variable components of total remuneration

15.9

A _firm_ must set an appropriate ratio between the fixed and variable components of total _remuneration_ and ensure that:

1. (1) fixed and variable components of total _remuneration_ are appropriately balanced; and
2. (2) the level of the fixed component represents a sufficiently high proportion of the total _remuneration_ to allow the operation of a fully flexible policy on variable _remuneration_ components, including the possibility to pay no variable _remuneration_ component.
3. (3) [Deleted]

[Note:Art. 94(1)(f) of the _CRD_]

Note:[CRD]

15.10

[Deleted]

15.11

[Deleted]

15.12

[Deleted]

15.13

[Deleted]

Payments related to early termination

15.14

A _firm_ must ensure that payments relating to the early termination of a contract reflect performance achieved over time and are designed in a way that does not reward failure or misconduct.

Note: Art. 94(1)(h) of the _CRD_ and Standard 12 of the [FSB Compensation Standards]

Note:[CRD]

Retained shares or other instruments

15.15

A _firm_ must ensure that:

1. (1) a substantial portion, which is at least 50%, of any variable _remuneration_ consists of an appropriate balance of:
 1. (a) shares or, subject to the legal structure of the _firm_ concerned, equivalent ownership interests; or, subject to the legal structure of the _firm_ concerned, _share_-linked instruments or equivalent non-cash instruments; and
 2. (b) where possible other instruments which are eligible as _Additional Tier 1 instruments_ or are eligible as _Tier 2 instruments_ or other instruments that can be fully converted to _Common Equity Tier 1 instruments_ or written down, that in each case adequately reflect the credit quality of the _firm_ as a going concern and are appropriate for use as variable _remuneration_ ; and
2. (2) the instruments referred to in paragraph (1) are subject to an appropriate retention policy designed to align incentives with the longer-term interests of the _firm_.

15.16

[Deleted]

Deferral

15.17

1. (1) [Deleted]

2. (2) A _firm_ must not award, pay or provide a variable _remuneration_ component to a relevant __material risk taker unless a substantial portion of it, which is at least 40%, is deferred over a period which is not less than four years vesting no faster than on a pro-rata basis.

1. (a) [deleted]

2. (b) [deleted]

15.18

In the case of a variable _remuneration_ component:

1. (1) of £660,000 or more; or

2. (2) payable to a _director_ of a _firm_ that is significant in terms of its size, internal organisation and the nature, scope and complexity of its activities;

at least 40% of the first £660,000 and 60% of any amount in excess of £660,000 must be deferred on the basis set out in 15.17.

15.19

Subject to 15.17, the length of the deferral period must be established in accordance with the business cycle, the nature of the business, its risks and the activities of the _employee_ in question.

Note: Art. 94(1)(m) of the _CRD_ and Standards 6 and 7 of the [FSB Compensation Standards]

Note:[CRD]

Performance adjustment

15.20

A _firm_ must ensure that:

1. (1) any variable _remuneration_ , including a deferred portion, is paid or vests only if it is sustainable according to the financial situation of the _firm_ as a whole, and justified on the basis of the performance of the _firm_ , the business unit and the individual concerned; but in the case of a small CRR firm or a small third country CRR firm, this does not require a _firm_ to impose malus or clawback;

2. (2) any variable _remuneration_ is subject to clawback, such that it is only awarded if an amount corresponding to it can be recovered from the individual by the _firm_ if the recovery is justified on the basis of the circumstances described in 15.21(2) or in respect of a relevant material risk taker, 15.23; and

3. (3A) where 15.20A does not apply, any variable _remuneration_ is subject to a clawback period from the date on which the variable _remuneration_ is awarded, in the case of:

1. (a) [deleted]

2. (b) any deferred portion of variable _remuneration_ , a clawback period of at least five years.

3. (c) an undeferred portion of variable _remuneration_ , a clawback period of at least one year.

Note: Art. 94(1)(n) of the _CRD_ and Standards 6 and 9 of the [FSB Compensation Standards]

Note:[CRD]

15.20A

In respect of a relevant material risk taker, a _firm_ must ensure that:

1. (1) any variable _remuneration_ is subject to a clawback period from the date on which the variable _remuneration_ is

awarded of at least 7 years from the date on which the variable `_remuneration_` is awarded;

2. (2) in the case of a relevant material risk taker who performs a `_PRA senior management function_`, the `_firm_` can, by notice to the `_employee_` to be given no later than 7 years after the variable `_remuneration_` was awarded, extend the period during which variable `_remuneration_` is subject to clawback to at least 10 years from the date on which the variable `_remuneration_` is awarded, where:

1. (a) the `_firm_` has commenced an investigation into facts or events which it considers could potentially lead to the application of clawback were it not for the expiry of the clawback period; or
2. (b) the `_firm_` has been notified by a regulatory authority (including an overseas regulatory authority) that an investigation has been commenced into facts or events which the `_firm_` considers could potentially lead to the application of clawback by the `_firm_` were it not for the expiry of the clawback period; and
3. (3) it considers on an ongoing basis whether to use the power in (2).

15.21

A `_firm_` must:

1. (1) set specific criteria for the application of malus and clawback; and
2. (2) ensure that the criteria for the application of malus and clawback in particular cover situations where the `_employee_` :
 1. (a) participated in or was responsible for conduct which resulted in significant losses to the `_firm_`; or
 2. (b) failed to meet appropriate standards of fitness and propriety.

[Note: Art. 94(1)(n) of the `_CRD_`]

Note:[CRD]

15.22

In respect of a relevant material risk taker:

1. (1) a `_firm_` should reduce unvested deferred variable `_remuneration_` when, as a minimum:
 1. (a) there is reasonable evidence of `_employee_` misbehaviour or material error;
 2. (b) the `_firm_` or the relevant business unit suffers a material downturn in its financial performance; or
 3. (c) the `_firm_` or the relevant business unit suffers a material failure of risk management.
2. (2) For performance adjustment purposes, awards of deferred variable `_remuneration_` made in `_shares_` or other non-cash instruments should provide the ability for a `_firm_` to reduce the number of `_shares_` or other non-cash instruments.
3. (3) Contravention of any of (1) or (2) may be relied on as tending to establish contravention of 15.20(1). Contravention of (1) or (2) does not give rise to any of the consequences provided for by provisions of `_FSMA_` other than section 138C.

15.23

In respect of a relevant material risk taker, a `_firm_` must make all reasonable efforts to recover an appropriate amount corresponding to some or all vested variable `_remuneration_` where either of the following circumstances arise during the period in which clawback applies (including any part of such period occurring after the relevant employment has ceased):

1. (1) there is reasonable evidence of `_employee_` misbehaviour or material error; or
2. (2) the `_firm_` or the relevant business unit suffers a material failure of risk management.

A `_firm_` must take into account all relevant factors (including, where the circumstances described in (2) arise, the

proximity of the _employee_ to the failure of risk management in question and the _employee?s_ level of responsibility) in deciding whether and to what extent it is reasonable to seek recovery of any or all of their vested variable _remuneration_.

15A

Buy-Outs

Application

15A.1

This Chapter applies where:

1. (1) a _firm_ agrees with an _employee_ to pay or provide a _buy-out_ ;
2. (2) the buy-out relates to employment with, or provision of services to, a previous _firm_ that was subject to the _remuneration requirements_ ; and
3. (3) the _employee_ was a _material risk taker_ in that previous _firm_.

Obligations applicable to a new _firm_

15A.2

A _firm_ may only award, pay or provide a _buy-out_ to an _employee_ if it enters into a contract with the _employee_ which enables the _firm_ , following receipt of a _reduction notice_ , to:

1. (1) reduce all or part of the _buy-out_ in accordance with 15.22(1)(a) and (c), (2) and (3); and
2. (2) recover all or part of the _buy-out_ in accordance with 15.23.

15A.3

1. (1) A _firm_ must ensure a _buy-out_ aligns with the long term interests of the _firm_ including appropriate retention, deferral, performance and clawback arrangements.
2. (2) The duration of retention, deferral, performance and clawback arrangements applied to a _buy-out_ , or part of a _buy-out_ , must be no shorter than such duration as was applied and remained outstanding in relation to unvested variable _remuneration_ awarded by a previous _firm_ to the person as an _employee_ of that previous _firm_.

[Note: Art. 94(1)(i) of the _CRD_]

15A.4

1. (1) A _firm_ must obtain _remuneration statements_ from the _employee_ before agreeing to provide the _employee_ with a _buy-out_.
2. (2) The amount of a _buy-out_ may be no greater than the aggregate amount of unvested variable _remuneration_ referred to in the _remuneration statements_ provided to the _firm_ by the _employee_.

15A.5

1. (1) A _firm_ must, in writing, inform a previous _firm_ (? _buy-out notice_ ?):
 1. (a) that it has entered into a contract which includes the terms required by 15A.2;
 2. (b) of the amount attributable to unvested variable _remuneration_ paid to the _employee_ by that previous _firm_ ; and
 3. (c) of the duration of retention, deferral, performance and clawback arrangements that would apply to the amount or

part of the amount identified in (b).

2. (2) Where the buy-out does not include an amount attributable to unvested variable remuneration paid to the _employee_ by a previous _firm_ , (1) does not apply.

15A.6

On receipt of a _reduction notice_ from a previous _firm_ , the _firm_ must reduce, or make all reasonable efforts to recover an amount corresponding to, the _buy-out_ , in the amounts notified to it by the previous _firm_ , before the vesting of the next relevant deferred payment, or in a case where clawback is applicable, within a reasonable period, and in any event, no later than the end of the applicable clawback periods in 15.20(3) and 15.20(4).

Obligations applicable to a previous _firm_

15A.7

1. (1) A previous _firm_ must provide its _employee_ or former _employee_ with a statement (?remuneration statement?) containing the following information:

1. (a) all periods during which the _employee_ was a _material risk taker_ ;
2. (b) the amount of unvested variable _remuneration_ available to be bought out applicable to the periods during which the _employee_ was a _material risk taker_ ; and
3. (c) the duration of retention, deferral, performance and clawback arrangements that the previous _firm_ would apply to each amount or part of an amount identified in (b).

2. (2) The information in (1) must be provided to the _employee_ or former _employee_ within 14 working days of a request by that _employee_ or former _employee_.

15A.8

1. (1) A previous _firm_ which has received a _buy-out notice_ must, in relation to that former _employee_ , consider whether it would have reduced unvested variable _remuneration_ or required the repayment of an amount corresponding to vested variable _remuneration_ in accordance with the criteria it has set under 15.21 until the end of the last period contained in the remuneration statement it provided to that _employee_.

2. (2) Consideration of any reduction of unvested variable remuneration must only cover reductions for reasons contained in 15.22(1)(a) and (c).

15A.9

1. (1) The previous _firm_ must determine the amounts by which it would have:

1. (a) reduced unvested variable _remuneration_ ; or
2. (b) required the repayment of an amount corresponding to vested variable _remuneration_
3. had the former _employee_ remained in its employment or been providing services and the duration of retention, deferral, performance and clawback arrangements were as notified under 15A.5(c).

2. (2) The previous _firm_ must make such determinations fairly and reasonably, including by:

1. (a) providing the former _employee_ with details and reasons for the proposed determination;
2. (b) enabling the former _employee_ to make representations as to why the proposed determination in (a) should not be made; and
3. (c) taking account of those representations in making the determination.

3. (3) The previous firm must, in writing, notify the _firm_ and the _employee_ of any amounts determined under (1) no later than 14 working days after it makes its final determination (?a reduction notice?).

General

15A.10

A firm must not:

1. (a) structure any element of an employee's remuneration in a way that could result in remuneration which otherwise would be characterised as part of a buy-out, not being characterised as such; or
2. (b) act or fail to act in a way which would otherwise seek to avoid the requirements of this chapter.

15A.11

A contravention of 15A.9(2) by a firm is actionable at the suit of a private person who suffers loss as a result of the contravention, subject to the defences and other incidents applying to such actions for breach of statutory duty.

16

Breach of the Remuneration Rules

16.1

Subject to 16.2 to 16.7, the voiding provisions in 16.9 to 16.13 apply in relation to the prohibitions on material risk takers being remunerated in the ways specified in:

1. (1) 15.7 (guaranteed variable remuneration);
2. (2) 15.17 to 15.19 (deferred variable remuneration);
3. (3) 15.20(2) (performance adjustment ? clawback);
4. (3A) 15A.2 (buy-out contract); and
5. (4) 16.16 (replacing payments recovered or property transferred).

16.2

16.1 applies only to those prohibitions as they apply in relation to a firm that satisfies either Condition 1 or Condition 2, as set out in 16.3 and 16.4.

16.3

Condition 1 is that the firm is a CRR firm that has relevant total assets exceeding £50 billion.

16.4

Condition 2 is that the firm :

1. (1) is a credit institution or a UK designated investment firm ; and
2. (2) is part of a group containing a firm that has relevant total assets exceeding £50 billion and that is a CRR firm.

16.5

For the purposes of 16.3 and 16.4 ?relevant total assets? means the arithmetic mean of the firm's total assets as set out in its balance sheet on its last three accounting reference dates.

16.6

The voiding provisions in 16.9 to 16.13 do not apply in relation to the prohibition on material risk takers being remunerated in the way specified in 15.7 (guaranteed variable remuneration) if both the conditions in paragraphs

(2) and (3) of that `_rule_` are met.

16.7

The voiding provisions in 16.9 to 16.13 do not apply in relation to a `_material risk taker_` (X) in respect of whom both the following conditions are satisfied:

1. (1) Condition 1 is that X's variable `_remuneration_` is no more than 33% of total `_remuneration_` ; and
2. (2) Condition 2 is that X's total `_remuneration_` is no more than £660,000.

16.8

In relation to 16.7:

1. (1) references to `_remuneration_` are to `_remuneration_` awarded or paid in respect of the relevant performance year;
2. (2) the amount of any `_remuneration_` is:
 1. (a) if it is money, its amount when awarded;
 2. (b) otherwise, whichever of the following is greatest: its value to the recipient when awarded; its market value when awarded; or the cost of providing it at the time of the award;
3. (3) where `_remuneration_` is, when awarded, subject to any condition, restriction or other similar provision which causes the amount of the `_remuneration_` to be less than it otherwise would be, that condition, restriction or provision is to be ignored in arriving at its value; and
4. (4) it is to be assumed that the `_material risk taker_` will remain so for the duration of the relevant performance year.

Voiding provisions

16.9

Any provision of an agreement that contravenes a prohibition on `_persons_` being `_remunerated_` in a way specified in a `_rule_` to which this `_rule_` applies (a 'contravening provision') is void.

16.10

A contravening provision does not cease to be void because:

1. (1) the `_firm_` concerned ceases to satisfy any of the conditions set out in 16.3 to 16.4; or
2. (2) the `_material risk taker_` concerned starts to satisfy both of the conditions set out in 16.7 (1) and (2).

16.11

A contravening provision that, at the time a `_rule_` to which this `_rule_` applies was first made (including any corresponding `_rules_` specified in SYSC 19D.2A.13R of the FCA Handbook), is contained in an agreement made before that time is not rendered void by 16.9 unless it is subsequently amended so as to contravene such a `_rule_`.

16.12

1. (1) A pre-existing provision is not rendered void by 16.9.
2. (2) In this Chapter, a pre-existing provision is any provision of an agreement that would (but for this `_rule_`) be rendered void by 16.9 that was agreed at a time when either:
 1. (a) the `_firm_` concerned did not satisfy any of the conditions set out in 16.3 to 16.4; or
 2. (b) the `_material risk taker_` concerned satisfied both of the conditions set out in 16.7(1) and (2).
3. (3) But an amendment to, or in relation to, a pre-existing provision is not to be treated as a pre-existing provision where the amendment is agreed at a time when both:

1. (a) the _firm_ concerned satisfies at least one of the conditions set out in 16.3 to 16.4; and
2. (b) the _material risk taker_ concerned does not satisfy both of the conditions set out in 16.7(1) and (2).

16.13

For the purposes of this Chapter, it is immaterial whether the law which (apart from 16.9 to 16.16) governs a contravening provision is the law of the _UK_, or of a part of the _UK_.

Recovery of payments made or property transferred pursuant to a void contravening provision

16.14

In relation to any payment made or other property transferred in pursuance of a contravening provision other than a pre-existing provision, a _firm_ must take reasonable steps to:

1. (1) recover any such payment made or other property transferred by the _firm_; and
2. (2) ensure that any other _person_ recovers any such payment made or other property transferred by that _person_.

16.15

16.14 continues to apply in one or both of the following cases:

1. (1) the _firm_ concerned ceases to satisfy any of the conditions set out in 16.3 to 16.4;
2. (2) the _material risk taker_ concerned starts to satisfy both of the conditions set out in 16.7 (1) and (2).

Replacing payments recovered or property transferred

16.16

1. (1) A _firm_ must not award, pay or provide variable _remuneration_ to a _person_ who has received _remuneration_ in pursuance of a contravening provision other than a pre-existing provision (the "contravening _remuneration_") unless the _firm_ has obtained a legal opinion stating that the award, payment or provision of the _remuneration_ complies with this Part.

2. (2) This _rule_ applies:

1. (a) in the case of a contravention of 15A.4, only to _remuneration_ relating to the commencement of employment with or provision of services for the _firm_; and
2. (b) in any other case, only to variable _remuneration_ relating to a performance year to which the contravening remuneration related.
3. (3) The legal opinion in (1) must be properly reasoned and be provided by an appropriately qualified independent individual.
4. (4) Paragraph (1) continues to apply in one or both of the following cases:
 1. (a) the _firm_ concerned ceases to satisfy any of the conditions set out in 16.3 to 16.4;
 2. (b) the _material risk taker_ concerned starts to satisfy both of the conditions set out in 16.7(1) and (2).

17

Remuneration Benchmarking Reporting Requirement

17.1

This Chapter applies to a _firm_ to which this Part applies, which had _total assets_ equal to or greater than £50 billion on an unconsolidated basis on the _accounting reference date_ immediately prior to the _firm's_ last complete financial year.

17.2

A _firm_ must submit a _Remuneration Benchmarking Information Report_ to the _PRA_ annually.

17.3

The _firm_ must provide to the _PRA_ , by way of its _Remuneration Benchmarking Information Report_ , the information disclosed in accordance with the criteria for disclosure established in points (g), (h) and (i) of Article 450(1) of the _CRR_.

[Note: Art. 75(1) of the _CRD_]

Note:[CRD and CRR No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation \(\text{EU}\) No 648/2012 Text with EEA relevance")]

17.4

The _firm_ must submit the _Remuneration Benchmarking Information Report_ to the _PRA_ within four months of the _firm's_ accounting reference date_.

17.5

A _firm_ that is not, and does not have in its _consolidation group_ , an _undertaking responsible for consolidation_ must complete that report on an unconsolidated basis in respect of _remuneration_ awarded to _employees_ of the _firm_ in the last completed financial year.

* Future version of 17.5 after 01/01/2027

17.6

An _undertaking responsible for consolidation_ must complete that report on a consolidated basis in respect of _remuneration_ awarded to all _employees_ of all _consolidation group entities_ in its _consolidation group_ in the last completed financial year.

* Future version of 17.6 after 01/01/2027

17.7

The _firm_ must ensure that the information in the _Remuneration Benchmarking Information Report_ is denominated in euro, determined by reference to the exchange rate used by the European Commission for financial programming and the budget for December of the reported year.

[Note: EBA/GL/2014/08]

18

High Earners Reporting Requirement

18.1

The Chapter applies in relation to _high earners_ and not only in relation to _material risk takers_.

18.2

A _firm_ must submit a _High Earners Report_ to the _PRA_ annually.

18.3

The _firm_ must submit that report to the _PRA_ within four months of the end of the _firm's_ accounting reference date_.

18.4

A _firm_ that is not, and does not have in its _consolidation group_ , an _undertaking responsible for consolidation_ must complete that report on an unconsolidated basis in respect of _remuneration_ awarded in the last completed financial year to all _high earners_ of the _firm_ who mainly undertook their professional activities within the _UK_.

* Future version of 18.4 after 01/01/2027

18.5

An _undertaking responsible for consolidation_ must complete that report on a _consolidated basis_ in respect of _remuneration_ awarded in the last completed financial year to all _high earners_ of the _consolidation group entities_ who mainly undertook their professional activities within the _UK_ at:

1. (1) the _PRA approved parent holding company_ , _PRA designated parent holding company_ , _PRA approved intermediate holding company_ , a _PRA designated intermediate holding company_ or a _PRA designated institution_ of the _consolidation group_ ;
2. (2) each _consolidation group entity_ that has its registered office (or if it has no registered office, its head office) in the _UK_ ; and
3. (3) each _branch_ of any other _consolidation group entity_ that is established or operating in the _UK_.

* Future version of 18.5 after 01/01/2027

18.6

The _firm's_ _High Earners Report_ must report, in pay brackets of ?1m, the number of _high earners_ , including their job responsibilities, the business area involved and the main elements of salary, bonus, long-term award and pension contribution. The number of _high earners_ must be reported as the number of natural persons, independent of the number of working hours on which their contract is based.

[Note: Art. 75(3) of the _CRD_]

Note:[CRD]

18.7

The _firm_ must ensure that the information in the _High Earners Report_ is denominated in euro, determined by reference to the exchange rate used by the European Commission for financial programming and the budget for December of the reported year.

[Note: EBA/GL/2014/07]